in our example, using Form 1040X. Send your check to the IRS for the tax due plus interest (9 percent at the time of this writing) during the interim period. (If you send a check for the tax but not the interest, IRS computers will bill you for the interest.)

The IRS interest rate varies, but it's slightly higher than you can get on one-year CDs. Since you'll probably use the standard deduction after you retire, you can't deduct the interest you pay to the IRS. On the other hand, the IRS taxes your CD interest income. So this deferral scheme will cost you some money. You'll want to cut the deferral period and pay the tax as soon as you decide you'll live without owning a home.

You don't have to use the deferral period at all. You can write the tax check to the IRS in the year you retire. If you wind up buying a new home within the two-year period, you amend your old return and get your money back. But when you retire your entire life turns upside down. The last thing you need to make yourself do is write a big check to the IRS. Give yourself a break and postpone paying the tax. Sometime down the road, when you're well grounded in your new life, you can face the IRS. What you gain in peace of mind is worth a little interest expense.

In order to make it easier on yourself, I suggest a mental trick. When you cash out of your home, set money aside to pay the tax on the gain. Put the money in a separate CD in a bank or savings institution you don't use for other accounts. When you calculate your net worth, leave the earmarked CD out of the total. When it comes time to write the check to the IRS, it will be easy. You'll already have the money set aside; your net worth will stay the same.

CONVERT OTHER ASSETS TO CASH

You should convert your home equity to cash. You should also: